

idend, in a year in which North American earned \$4.68 per share on the average number of shares outstanding. Nevertheless, the stock market capitalized these artificial earnings of Central States Electric Corporation to arrive at its valuation of that company's shares.<sup>11</sup>

**Market Price of Shares Should Be Recognized in Stock-Dividend Payments.** The New York Stock Exchange finally adopted a new listing requirement under which corporations agree not to take into their income accounts stock dividends received, at a valuation greater than the amount at which such stock dividends were charged "against earnings, earned surplus or undivided profits by the issuing company in relation thereto."

Although this regulation was properly conceived, it does not go to the heart of the matter. The abuses of the periodic stock-dividend procedure may be readily prevented by the simple rule that stock dividends *at market value* must not exceed the earnings available for dividends. Declarations might well be made in the following form: "A stock dividend of 5% is hereby declared. The market value of this dividend is approximately \$6 per share, and it represents the capitalization of \$7 per share retained in the business out of current earnings of \$10 per share."

**Advantages of Stock Dividends Payable in Preferred Stock.** Dividends may be paid in preferred stock instead of common stock. The chief exemplar of this method is General Electric Company, which distributed extra dividends of 5% annually between 1922 and 1925, in addition to the regular payment of \$8 in cash. These extra dividends were paid in 6% special stock, par value \$10, which was in reality a preferred stock. A similar procedure was followed by S. H. Kress Company and by Hartman Corporation. The theoretical advantage of this method is that the amount of the dividend paid is clearly fixed at the effective par value<sup>12</sup> of the pre-

---

<sup>11</sup> Middle West Utilities followed a similar practice between 1928 and April 1932 with respect to stock dividends received both from subsidiaries and from other companies. The receivers subsequently wrote down the corporate surplus to correct the overvaluation of these stock dividends received from subsidiaries.

<sup>12</sup> If payment is made in a *convertible preferred stock* the danger of overvaluation is, of course, not fully eliminated. For example, Columbia Gas and Electric Corporation during 1932 paid \$1.125 to common stockholders in 5% Convertible Preference Stock (par \$100) common. The preference stock sold as high as 108 during 1932 and 138 in 1933, or at equivalents substantially in excess of the earnings of the company on its common stock during those years.